

out your credit card debt, increase your student loan payments to at least their original levels.

↓ CAR LOANS

It's a tricky time to get a car loan—while manufacturers are eager to make sales, banks are choosier about giving out auto loans. Another problem is that once you get a car loan, you may be stuck with it; it's hard to find a lender who will refinance your loan at a lower rate.

And that can make a difference on your bottom line. For instance, getting a 7% rate instead of a 9% rate on a \$24,800 six-year loan would save you almost \$2,000. It might also mean the difference between being able to make your payments on time and having your car repossessed.

Even people with great credit reports have to do their homework in order to get the best deal. This section will offer advice on finding the right car loans and leases for you.

How to Get a Good Deal

You're going to need to do some legwork. Here are some pointers:

- **Shop around.** There's more than one place to get a car loan: directly from a dealership, bank, credit union—or even online. Before you set foot in a dealership, do some research. Consult your local newspaper to look for the best deals offered in your area, then go to websites like Bankrate (www.bankrate.com) and LendingTree (www.lendingtree.com) to gather more options. Credit unions tend to charge lower auto loan rates, so if you belong to one, check. See if a bank is willing to bargain; you can sometimes get a half-percentage-point break if you're willing to have your payments deducted automatically from your bank account.
- **Ask a lender with a good rate if you can get preapproved for an auto loan.** Preapproval is a process by which the